

Lec - CRM Analytics - RFM Model

Agenda!

- ✓ 1. E-commerce Casestudy
- ✓ 2. CRM (Customer Relationship Management)
- ✓ 3. Customer Segmentation
- ✓ 4. RFM Clustering
- ✓ 5. Hands-on using GSheets
- ✓ 6. Customer Segments / Profiles
- ✓ 7. Use Case of RFM

Case Study

A company in the e-commerce sector wants to segment its customers and determine their marketing strategies according to these segments.

For example: If the company has a 50K marketing budget, and that amount is not enough to target everyone - How would you strategize spending this budget?

CRM - (customer Relationship Management)

Marketing → Limited budget
→ can't give offers to all the customers

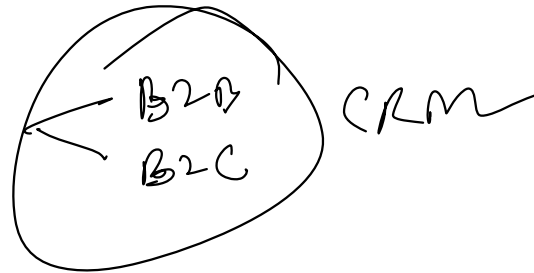
- Group your customers ^{base} based on attributes, behavioural traits.
- Target the group accordingly
-

B2B domain — CRM

↳ salesforce

B2C domain — CRM

Role: CRM executives



Customer segmentation:

- ↳ Demographic — Age, gender, income, education, marital status, occupation
- ↳ Psychographic — Personality traits, lifestyle, social status, interests, opinions.
- ↳ Geography — Country, state, city, climate, urban vs rural
- ↳ Behavioural — Frequency of purchase, avg. order value, product category

RFM (Recency, Frequency, Monetary value) :

Smaller sized data :

3

*

3

*

3

=

(2 7)

groups

RFM
1 1 1

1 1 2

1 2 1

2 1 1

2 1 2

⋮

Medium sized data :

5

*

5

*

5

=

125 group

Large sized data :

10

*

10

*

10

=

1000 groups

3 3 3

